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Case Number: 25NNCV03240 Hearing Date: July 14, 2026 Dept: E

Hearing Date: 07/14/26

– 8:30am

Case No: 25NNCV03240

Trial Date: 04/12/27

Case Name: Los Angeles County Employees Retirement

Association v. Carmelo Marquez,

et al.

TENTATIVE RULING ON PLAINTIFF'S MSJ/MSA

Moving

Party: Plaintiff Los Angeles County

Employees Retirement Association

Responding

Party: Defendants Carmelo Marquez and SafeSec, LLC

Proof of service timely

filed (CRC 3.1300(c)): ok

Correct Address (CCP §§

1013, 1013(a)): ok served at the email address on file

81/+2 day lapse: Motion

was timely filed.

Under Code of Civil Procedure section 437c(a)(2), notice of the motion and supporting papers shall be served on all other parties to the action at least 81 days before the time appointed for hearing. If the notice is served by facsimile transmission, express mail, or another method of delivery providing for overnight delivery, the required 81-day period of notice shall be increased by two court days. (Code Civ. Proc., § 437c(a)(2).)

RELIEF REQUESTED:

Plaintiff Los Angeles County Employees Retirement Association ("Plaintiff" or "LACERA") moves for summary judgment, or in the alternative summary adjudication, against defendants Carmelo Marquez and SafeSec, LLC (collectively, "Defendants") on the grounds that there is no triable issue of material fact and Plaintiff is entitled to judgment as a matter of law. In the alternative, Plaintiff seeks summary adjudication as to the first through seventh causes of action.

BACKGROUND:

On May 12, 2025, Plaintiff filed a complaint against Defendants for the following causes of action: (1) violation of conflict of interest law (Gov. Code § 1090, et seq.), (2) violation of Political Reform Act (Gov. Code § 87100, et seq.), (3) violation of Political Reform Act (Gov. Code § 87100, et seq.), (4) breach of fiduciary duty, (5) aiding and abetting breach of fiduciary duty, (6) fraud, and (7) declaratory relief.

Plaintiff alleges the following: Defendant Carmelo Marquez ("Marquez") became LACERA's Information Security Architect in March 2021 and Interim Information Security Officer ("ISO") in February 2023 and in September 2022, defendant Marquez formed defendant SafeSec, LLC ("SafeSec"). SafeSec became a Value-Added Reseller ("VAR") for a cybersecurity company, Tenable Inc. ("Tenable"). Defendant Marquez onboarded SafeSec as a VAR which LACERA could contract. Defendant Marquez ensured the purchase of Tenable products and services and Banyan Security ("Banyan") products through SafeSec by using insider information to submit the lowest bid. Defendant Marquez used the alias Carlos Rodriguez throughout this scheme in order to avoid disclosing his conflict of interest and purposefully concealed his relationship to and financial interest in SafeSec from LACERA.

RECOMMENDED

RULING:

The Court DENIES Plaintiff LACERA's motion for summary judgment.

The Court GRANTS Plaintiff LACERA's motion for summary adjudication as to the first, second, third, and seventh causes of action.

The Court DENIES Plaintiff LACERA's motion for summary adjudication as to the fourth through sixth causes of action.

EVIDENTIARY OBJECTIONS

Defendants' evidentiary objection nos. 1, 4-9 are overruled.

Defendants' evidentiary objection nos. 2 and 3 are sustained.

ANALYSIS:

Legal Standard

"The purpose of the law of summary judgment is to provide courts with a mechanism to cut through the parties' pleadings in order to determine whether, despite their allegations, trial is in fact necessary to resolve their dispute." (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal. 4th 826, 843.)

A party seeking summary judgment has the burden of producing evidentiary facts sufficient to entitle him/her to judgment as a matter of law. (Code Civ. Proc., § 437c, subd. (c); Vesely v. Sager (1971) 5 Cal.3d 153.) The moving party must make an affirmative showing that he/she is entitled to judgment irrespective of whether or not the opposing party files an opposition. (Villa v. McFerren (1995) 35 Cal.App.4th 733.) The moving party may support its motion by "affidavits, declarations, answers to interrogatories, depositions, and matters upon which judicial notice shall or may be taken." (Code Civ. Proc., § 437c, subd. (b)(l).)

The opposing party on a motion for summary judgment is under

no evidentiary burden to produce rebuttal evidence until the moving party meets his or her initial movant's burden. (Binder v. Aetna Life Insurance Company (1999) 75 Cal.App.4th 832.) Once the initial movant's burden is met, then the burden shifts to the opposing party to show, with admissible evidence, that there is a triable issue requiring the weighing procedures of trial. (Code Civ. Proc., § 437c, subd. (p).) The opposing party may not simply rely on his/her allegations to show a triable issue but must present evidentiary facts that are substantial in nature and rise beyond mere speculation. (Sangster v. Paetkau (1998) 68 Cal.App.4th 151.)

As a general rule, in reviewing the evidence presented on summary judgment, the moving party's evidence is strictly construed, and the opposing party's evidence is liberally construed. (Binder v. Aetna Life Insurance Company (1999) 75 Cal.App.4th 832; Brantley v. Pisaro (1996) 42 Cal.App.4th 1591.) The court is to consider all evidence submitted by the parties, direct and circumstantial, except that to which a proper objection has been sustained. (Code Civ. Proc., §437c, subd. (c).) The court must also consider all reasonable inferences drawn therefrom. (Id.)

"A plaintiff or cross-complainant has met that party's burden of showing that there is no defense to a cause of action if that party has proved each element of the cause of action entitling the party to judgment on the cause of action. Once the plaintiff or cross-complainant has met that burden, the burden shifts to the defendant or cross-defendant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto." (Code Civ. Proc., § 437c, subd. (p)(1).)

Discussion

Defendants' Separate Statement

"The opposition papers shall include a separate statement that responds to each of the material facts contended by the moving party to be undisputed, indicating if the opposing party agrees or disagrees that those facts are undisputed. The statement also shall set forth plainly and concisely any other material facts the opposing party contends are disputed. Each material fact contended by the opposing party to be disputed shall be followed by a reference to the supporting evidence. Failure to comply with this requirement of a separate statement may constitute a sufficient ground, in the

court's discretion, for granting the motion.” (Code Civ. Proc., § 437c, subd. (b)(3).)

Here Defendants filed a separate statement that only responded to Undisputed Material Fact numbers 1 through 17 without providing a response to Undisputed Material Fact numbers 18 through 176. In addition, Defendants’ responses to the Undisputed Material Facts do not correspond to or address Plaintiff’s Material Facts. Despite the deficiencies and Defendants’ noncompliance, the Court will consider the merits of Defendants’ opposition.

Alter Ego

Plaintiff has shown that defendant SafeSec’s actions are attributable to defendant Marquez because defendant SafeSec is defendant Marquez’s alter ego.

“Under the alter ego doctrine, . . . when the corporate form is used to perpetrate a fraud, circumvent a statute, or accomplish some other wrongful or inequitable purpose, the courts will ignore the corporate entity and deem the corporation’s acts to be those of the persons or organizations actually controlling the corporation, in most instances the equitable owners.” (Sonora Diamond Corp. v. Superior Court (2000) 83 Cal.App.4th 523, 538.)

A court will not disregard the legal existence of a corporation without meaningful evidence of both unity of interest and inequitable result. (Id. at p. 539.) “[I]n order to prevail on an alter-ego theory, the plaintiff must show that ‘(1) there is such a unity of interest that the separate personalities of the corporations no longer exist; and (2) inequitable results will follow if the corporate separateness is respected.’” (Zoran Corp. v. Chen (2010) 185 Cal.App.4th 799, 811.) Courts determine whether there is a unity of interest by considering factors including but not limited to (1) sole ownership and control; (2) commingling of funds or the treatment by an individual of the assets of the corporation as his own; (3) concealment and misrepresentation of the identity of the responsible ownership, management, or financial interest; and (4) use of a corporation as a mere shell, instrumentality, or conduit for the business of an individual. (Greenspan v. LADT, LLC (2010) 191 Cal.App.4th 486, 512–513 [enumerating list of non-exhaustive factors].)

Here, Plaintiff has shown that (1) defendant Marquez solely owned and controlled defendant SafeSec (Undisputed Material Fact (“UMF”) nos. 30, 139, 143), (2) defendant Marquez treated

defendant SafeSec's assets as his own as he personally picked up a check for defendant SafeSec and defendant SafeSec admitted that its finances were not separate from defendant Marquez's (UMF nos. 79, 148, 152, 157; Ex. 59, RFA nos. 13, 15), (3) defendant Marquez concealed and misrepresented SafeSec's ownership and never disclosed his interest and instead created the alias "Carlos Rodriguez" to pass as defendant SafeSec's representative in dealing with LACERA staff (UMF nos. 104, 174, 176), and (4) SafeSec operated only as defendant Marquez's shell for the sole purpose of selling Tenable and Banyan products to LACERA through using his insider position to his advantage as SafeSec had no other business, customers, or operations and only existed to obtain LACERA contracts. (UMF nos. 147-149, 152.)

Plaintiff has also shown that to treat defendant Marquez and defendant SafeSec as separate entities would be unjust and inequitable because defendant Marquez used defendant SafeSec to obtain LACERA contracts to profit off his position within LACERA through misrepresentations and concealing his interest in defendant SafeSec. (UMF nos. 104, 174, 176.) (Sonora Diamond Corp., supra, 83 Cal.App.4th at 539 ["The alter ego doctrine . . . affords protection where some conduct amounting to bad faith makes it inequitable for the corporate owner to hide behind the corporate form"].)

In their opposition, Defendants argue that alter ego cannot be decided on summary judgment because complete ownership and control are not enough by themselves. (Sonora Diamond, supra, 83 Cal.App.4th at p. 539.) In Sonora Diamond, the court found that "there was no evidence of any wrongdoing by either Diamond or Sonora Mining or any evidence of injustice flowing from the recognition of Sonora Mining's separate corporate identity. Without such evidence, the alter ego doctrine cannot be invoked." (Ibid.) However, here, as discussed, Plaintiff has provided evidence of wrongdoing by Defendants by defendant Marquez using defendant SafeSec to obtain contracts from LACERA, profiting from his role within LACERA to facilitate those contracts and failing to disclose that he was the sole owner of SafeSec. (UMF nos. 104, 174, 176.) Defendants have provided no conflicting evidence to show there is a triable issue of material fact as to whether defendant SafeSec is defendant Marquez's alter ego. (Sinai Memorial Chapel v. Dudler (1991) 231 Cal.App.3d 190, 196 ["An issue of fact can only be created by a conflict of evidence. It is not created by 'speculation, conjecture, imagination or guess work'"].)

Accordingly, Plaintiff has shown that defendant SafeSec is defendant Marquez's alter ego.

First Cause of Action –

Violation of Conflict of Interest Law (Gov. Code, § 1090, et seq.)

“Members of the Legislature, state, county, district, judicial district, and city officers or employees shall not be financially interested in any contract made by them in their official capacity, or by any body or board of which they are members. Nor shall state, county, district, judicial district, and city officers or employees be purchasers at any sale or vendors at any purchase made by them in their official capacity.” (Gov. Code, § 1090, subd. (a).) “To determine whether section 1090 has been violated, a court must identify (1) whether the defendant government officials or employees participated in the making of a contract in their official capacities, (2) whether the defendants had a cognizable financial interest in that contract, and (3) (if raised as an affirmative defense) whether the cognizable interest falls within any one of section 1091's or section 1091.5's exceptions for remote or minimal interests.” (Lexin v. Superior Court (2010) 47 Cal.4th 1050, 1074.)

“Government Code section 1090 prohibits public officers and employees from making contracts in which they have a financial interest when they act in their official capacities. Knowing and willful self-dealing can result in criminal liability.” (People v. Superior Court (Sahlolbei) (2017) 3 Cal.5th 230, 233.) Independent contractors are not categorically excluded from Government Code section 1090 because liability can extend to independent contractors who have duties to engage in or advice on public contracting. (Id.)

First, Plaintiff has shown that defendant Marquez was a government employee and later a government official who participated in the making of contracts between LACERA and defendant SafeSec. In April 2021, defendant Marquez was hired as a temporary staff member whose duties as an Information Security Architect included advising LACERA on cybersecurity strategy, evaluating vendors, and assisting in managing procurement of information security products and was considered to be a subject matter expert on information security technology, and staff reasonably relied on his direction regarding which information-security products to purchase and through which vendors. (UMF nos. 2-4.) From February 23, 2023, defendant Marquez also occupied the role of interim ISO, a management role that directly reported to the Deputy Chief Executive Officer, and was tasked with evaluating cybersecurity products,

overseeing the procurement process for LACERA's information security purchases, and managing the activities of security engineers. (UMF nos. 5-7.) In the interim ISO role, defendant Marquez was regarded as the subject-matter expert on information security technology and was relied upon to evaluate whether products are appropriate in terms of performance and cost. (UMF no. 7.) As such, Plaintiff was an official or officer of LACERA. (Sahlolbei, supra, 3 Cal.5th at 237 ["we conclude that the Legislature understood section 1090's reference to "officers" to apply to outside advisors with responsibilities for public contracting similar to those belonging to formal officers, notwithstanding Spreckels's definition of "public officer" for other statutes."].)

Furthermore, defendant Marquez participated in the contract between Plaintiff and defendant SafeSec for the procurement of Tenable products and services and Banyan products by providing SafeSec's quotes, W-9, terms, and identifying SafeSec as the lowest-priced vendor, as well as pressing procurement and accounting staff to issue checks, coordinating the pickup or mailing of checks, and even picking up the December 29, 2022 SafeSec check himself. (UMF nos. 32, 36-42, 54-69, 77-80, 81-84.) (Sahlolbei, supra, 3 Cal.5th at p. 246 ["Officials make contracts in their official capacities within the meaning of section 1090 if their positions afford them 'the opportunity to ... influence execution [of the contracts] directly or indirectly to promote [their] personal interests' and they exploit those opportunities Similarly, the fact that an official's written duties do not extend to contracting is irrelevant if the official was actually involved in the making of any public contracts and, in doing so, exploited an official position"].)

Second, Plaintiff has shown that defendant Marquez had a financial interest in the contract between Plaintiff and defendant SafeSec because defendant Marquez was the sole member and owner of SafeSec during the relevant time period and as such, defendant Marquez was influenced by his personal considerations for financial profit rather than the public good. (UMF nos. 30, 139, 143; Ex. 59 – SafeSec's Amended Responses to Requests for Admissions ("RFAs") verified by defendant Marquez, RFA no. 1; Ex. 22 – SafeSec's 2023 Wyoming Limited Liability Company Annual Report; Ex. 25 – SafeSec's Operating Agreement.) (Lexin v. Superior Court (2010) 47 Cal.4th 1050, 1075 ["the interest 'might be small or indirect is immaterial so long as it is such as deprives the [people] of his overriding fidelity to [them] and places him in the compromising situation where, in the exercise of his official judgment or discretion, he may be influenced by

personal considerations rather than the public good”]..)

Accordingly, Plaintiff has met its burden to show there is no defense to the first cause of action for violation of Conflict of Interest Law, Government Code section 1090, because Plaintiff has shown that defendant Marquez was a government official who participated in the making of contracts between LACERA and defendant SafeSec and defendant Marquez had a financial interest in those contracts as he was the sole owner and member of defendant SafeSec. Thus, the burden shifts to Defendants to show that a triable issue of one or more material facts exists as to the first cause of action or a defense thereto.

The Court finds that Defendants did not meet their burden to show there is a triable issue of material fact because Defendants argue that defendant Marquez did not make the contracts alone. However, Defendants do not provide any law that supports their contention that Plaintiff cannot prove that defendant Marquez alone made the contracts. Similarly, Defendants argue that Plaintiff cannot prove that it relied blindly and exclusively on defendant Marquez, but again, that is not required to show that defendant Marquez violated Government Code section 1090. Nor is it necessary for defendant Marquez to have been the sole legal actor for the SafeSec contracts. Plaintiff must only show that defendant Marquez participated in the making of a contract in his official capacities, which as discussed, Plaintiff has done. (Lexin, supra, 47 Cal.4th at 1074 [emphasis added].)

In addition, Defendants have not set forth any evidence that raise a triable issue of material fact that defendant Marquez did not violate Government Code section 1090. (Sinai Memorial Chapel v. Dudler (1991) 231 Cal.App.3d 190, 196 [“An issue of fact can only be created by a conflict of evidence. It is not created by ‘speculation, conjecture, imagination or guess work’”]..)

Defendants also argue that Plaintiff must show that no reasonable trier of fact could conclude that the transactions were subject to intervening institutional review and independent judgment. But again, Defendants do not provide any law that supports their contention nor any conflict of evidence that creates a triable issue of material fact.

Accordingly, Plaintiff is entitled to summary adjudication as to the first cause of action.

Second Cause of Action

– Violation of Political Reform Act (Gov. Code, § 87100, et seq.)

“A public official at any level of state or local government shall not make, participate in making, or in any way attempt to use the public official's official position to influence a governmental decision in which the official knows or has reason to know the official has a financial interest.”
(Gov. Code, § 87100.)

The court in *Santa Clarita Organization for Planning & the Environment v. Abercrombie* (2015) 240 Cal.App.4th 300, 314, explained that “a public official has a conflict of interest under section 87100 if (1) the official has a financial interest of the type delineated in section 87103, (2) ‘the effect of the governmental decision on the official's financial interest [is] reasonably foreseeable ...,’ (3) ‘the foreseeable effect of the governmental decision on the [financial] interest [is] material,’ and (4) that effect is ‘distinguishable from [its effect on] the public generally.’ (Consumers Union, at pp. 443-444, 147 Cal.Rptr. 265.) If a qualifying conflict exists, the public official is to disclose the conflict and recuse himself or herself (§ 87105); if that does not happen, a court ‘may’--but is not required to—‘set the official action aside as void’ (§ 91003, subd. (b); see *All Towing Services LLC v. City of Orange* (2013) 220 Cal.App.4th 946, 957-958, 163 Cal.Rptr.3d 626.)” Pursuant to Government Code section 87103

A public official has a financial interest in a decision within the meaning of Section 87100 if it is reasonably foreseeable that the decision will have a material financial effect, distinguishable from its effect on the public generally, on the official, a member of the official's immediate family, or on any of the following:

(a) Any business entity in which the public official has a direct or indirect investment worth two thousand dollars (\$2,000) or more.

(b) Any real property in which the public official has a direct or indirect interest worth two thousand dollars (\$2,000) or more.

(c) Any source of income, except gifts

or loans by a commercial lending institution made in the regular course of business on terms available to the public without regard to official status, aggregating five hundred dollars (\$500) or more in value provided or promised to, received by, the public official within 12 months prior to the time when the decision is made.

(d) Any business entity in which the public official is a director, officer, partner, trustee, employee, or holds any position of management.

(e) Any donor of, or any intermediary or agent for a donor of, a gift or gifts aggregating two hundred fifty dollars (\$250) or more in value provided to, received by, or promised to the public official within 12 months prior to the time when the decision is made. The amount of the value of gifts specified by this subdivision shall be adjusted biennially by the commission to equal the same amount determined by the commission pursuant to subdivision (f) of Section 89503.

(Gov. Code, § 87103.)

First, Plaintiff has shown that defendant Marquez is a "public official" pursuant to the Political Reform Act because officers, employees, and consultants of local agencies are public officials and defendant Marquez served as LACEA's interim ISO and as an Information Security Architect. (UMF nos. 3-6.) (Cal. Code Regs., tit. 2 § 18700, subd. (c)(1).) Plaintiff has also shown that defendant Marquez has a financial interest as defined by Government Code section 87103 because defendant Marquez while he served as an Information Security Architect formed SafeSec, was its sole owner, appeared as an officer of SafeSec, instructed LACERA where to address payments, which were deposited into an account that defendant Marquez controlled. (UMF nos. 64, 78, 79, 138-146, 152, 157.) (See Gov. Code, § 87103, subd. (d) ["A public official has a financial interest in a decision within the meaning of Section 87100 if it is reasonably foreseeable that the decision will have a material financial effect, distinguishable from its effect on the public generally, on the official, a member of the official's immediate family, or . . . [a]ny business entity in which the public official is a director, officer, partner, trustee, employee, or holds any position of management".].)

Second, Plaintiff has shown that the financial effect of LACERA's decisions on defendant Marquez was reasonably

foreseeable because the contract was between LACERA and SafeSec and Plaintiff has shown that defendant SafeSec is defendant Marquez's alter ego as discussed above. "A financial effect on a financial interest is presumed to be reasonably foreseeable if the financial interest is a named party in, or the subject of, a governmental decision before the official or the official's agency. A financial interest is the subject of a proceeding if the decision involves the issuance, renewal, approval, denial or revocation of any license, permit, or other entitlement to, or contract with, the financial interest" (Cal. Code Regs., tit. 2, § 18701, subd. (a).)

Third, Plaintiff has shown that the effect of LACERA's decisions on defendant Marquez was material because SafeSec was explicitly involved by bidding, entering into a contract, and being a vendor of products costing \$1,000 or more in a year since SafeSec offered to sell Tenable and Banyan products and submitted bids that LACERA accepted, ultimately receiving over \$123,000 from LACERA contracts in under four months. (UMF nos. 153-157.) (Cal. Code Regs., tit. 2, § 18702.1, subd. (a) ["The reasonably foreseeable financial effect of a governmental decision on an official's financial interest in a business entity is material if . . . The entity is a named party in, or the subject of, the decision, including any decision in which the entity . . . Offers to sell a product or service to the agency; Bids on, or enters into, a contract with the agency, or is identified as a subcontractor on a bid or contract with the agency; Is the named or intended manufacturer or vendor of any products to be purchased by the agency with an aggregate cost of \$1,000 or more in any 12-month period . . ."].)

Fourth, Plaintiff has shown that the foreseeable effect is distinguishable from its effect on the public generally because the contracts worth over \$123,000 was a benefit unique to defendant Marquez, and did not benefit the public. (Cal. Code Regs., tit. 2, § 18703, subd. (c)(6) ["A unique effect on a public official's financial interest includes a disproportionate effect on . . . [t]he official's personal finances or those of the official's immediate family"].)

Plaintiff has met its burden to show there is no defense to the second cause of action for violation of Political Reform Act, Government Code section 87100. Thus, the burden shifts to Defendants to show that a triable issue of one or more material facts exists as to the second cause of action or a defense thereto. However, Defendants do not attempt to show that there is a triable issue of one or more material facts regarding the second cause of

action.

Accordingly, Plaintiff is entitled to summary adjudication as to the second cause of action.

Third Cause of Action –

Violation of Political Reform Act (Gov. Code, § 87200, et seq.)

The Political Reform Act requires officials designated in their agency's conflict of interest code to disclose their financial interests on a Form 700 Statements of Economic Interests. (Gov. Code, §§ 87207 [income statement contents], 87209 [business position disclosure], 87300 [requiring every agency to adopt and promulgate a Conflict of Interest Code], 87302, subd. (b) [the method and standards for disclosures by local public officials]; Cal. Code Regs., tit. 2, § 18730 [requiring agencies to designate employees subject to disclosure requirements].)

Plaintiff has shown that LACERA's Conflict of Interest Code requires certain employees, including the ISO who falls under category 4 disclosures, to disclose all business positions, investments, or income received from entities that manufacture, provide or sell service and/or supplies of a type used by LACERA and related to their job duties. (UMF nos. 168-170.) As the interim ISO, defendant Marquez was required to file a statement within 30 days of assuming office disclosing investments, business positions, and interests in real property held on, and income received during the previous 12 months, and another statement with 30 days of leaving office disclosing the same held at any time during the period between the closing date of the last statement required to be filed and the date of leaving office. (UMF nos. 169-170.) Defendant SafeSec, as a VAR of Tenable and Banyan security products, was an entity as described by category 4. (Ex. 4, LACERA Conflict of Interest Code.) Defendant Marquez, in his untimely filed Assuming Office and Leaving Office Form 700s swore he had nothing to disclose which was false. (UMF nos. 174-176.) Plaintiff has shown that these forms were false because at the time, defendant Marquez was defendant SafeSec's sole owner and manager and SafeSec was defendant Marquez's alter ego. (UMF nos. 79, 87, 138-146.)

Plaintiff has met its burden to show there is no defense to the third cause of action for violation of Political Reform Act, Government Code section 87200, et seq. Thus, the burden shifts to Defendants to show that a triable issue of one or more material facts exists as to the third cause of

action or a defense thereto. However, Defendants do not attempt to show that there is a triable issue of one or more material facts regarding the third cause of action.

Accordingly, Plaintiff is entitled to summary adjudication as to the third cause of action.

Fourth Cause of Action

– Breach of Fiduciary Duty

“The elements of a claim for breach of fiduciary duty are (1) the existence of a fiduciary relationship, (2) its breach, and (3) damage proximately caused by that breach.” (O’Neal v. Stanislaus Cnty. Employees’ Ret. Assn. (2017) 8 Cal. App. 5th 1184, 1215). “A fiduciary relationship has been defined as any relation existing between parties to a transaction wherein one of the parties is ... duty bound to act with the utmost good faith for the benefit of the other party. Such a relation ordinarily arises where a confidence is reposed by one person in the integrity of another, and in such a relation the party in whom the confidence is reposed, if he voluntarily accepts or assumes to accept the confidence, can take no advantage from his acts relating to the interest of the other party without the latter’s knowledge or consent.” (People ex rel. Harris v. Rizzo (2013) 214 Cal.App.4th 921, 950 [internal quotations omitted].) “[B]efore a person can be charged with a fiduciary obligation, he must either knowingly undertake to act on behalf and for the benefit of another or must enter into a relationship which imposes that undertaking as a matter of law.” (City of Hope National Medical Center v. Genentech, Inc. (2008) 43 Cal.4th 375, 386.)

Plaintiff has not shown that defendant Marquez in his role as Information Security Architect and interim ISO was a fiduciary of LACERA. Plaintiff has only shown that defendant Marquez held a management role reporting directly to executive leadership and supervised security engineers, advised executive leadership, and oversaw procurement of information security products. (UMF nos. 3-7.) However, this is not sufficient to show a fiduciary relationship, one where defendant Marquez was duty bound to act with the utmost good faith for the benefit of LACERA, was established.

Plaintiff relies on People ex rel. Harris v. Rizzo (2013) 214 Cal.App.4th 921, however, in that case the court found that “a City

reposes trust and confidence in its Assistant Chief Administrative Officer.” (Id. at p. 950.) Plaintiff has not shown that a city would repose trust and confidence in an Information Security Architect or an ISO. Plaintiff also relies on *County of San Bernardino v. Walsh* (2007) 158 Cal.App.4th 533, where the court held that defendants were government officials with a fiduciary duty to the county and defendants held the position of San Bernardino County Administrative Officer, the principal administrative officer, at two different times. (Id. at p. 543.) Here, Plaintiff has not shown that the Information Security Architect or the ISO were positions similar to those of the County Administrative Officer such that defendant Marquez had a fiduciary duty to LACERA.

Accordingly, the court finds that Plaintiff is not entitled to summary adjudication as to the fourth cause of action. Summary adjudication as to the fourth cause of action is denied.

Fifth Cause of Action –

Aiding and Abetting Breach of Fiduciary Duty

“The elements of a claim for aiding and abetting a breach of fiduciary duty are: (1) a third party's breach of fiduciary duties owed to plaintiff; (2) defendant's actual knowledge of that breach of fiduciary duties; (3) substantial assistance or encouragement by defendant to the third party's breach; and (4) defendant's conduct was a substantial factor in causing harm to plaintiff.” (*Nasrawi v. Buck Consultants LLC* (2014) 231 Cal.App.4th 328, 343.)

The court finds that because Plaintiff has not shown there is a fiduciary relationship between defendant Marquez and Plaintiff, and thus Plaintiff has not shown that there was a breach of fiduciary duty by defendant Marquez, Plaintiff has not met its burden to show that there is no defense to the aiding and abetting breach of fiduciary duty cause of action.

Accordingly, Plaintiff is not entitled to summary adjudication on the fifth cause of action. Summary adjudication as to the fifth cause of action is denied.

Sixth Cause of Action –

Fraud

The elements of fraud are: “(1) a misrepresentation (false representation, concealment, or nondisclosure); (2) knowledge of falsity (or scienter); (3) intent to defraud, i.e., to induce reliance; (4) justifiable reliance; and (5) resulting damage.” (Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 990.)

The court finds that Plaintiff has not met its burden to show that there is no defense to a cause of action because Plaintiff has failed to prove that it justifiably relied on Defendants’ misrepresentations. “Reliance can be proved in a fraudulent omission case by establishing that had the omitted information been disclosed, [the plaintiff] would have been aware of it and behaved differently.” (Boschma v. Home Loan Center, Inc. (2011) 198 Cal.App.4th 230, 250–251 [internal quotations omitted].) Plaintiff only argues that LACERA would not have entered into the contracts with SafeSec or paid SafeSec had defendant Marquez not represented himself to be a different person, Carlos Rodriguez, and had defendant SafeSec not held the alias out as a legitimate representation. However, Plaintiff does not provide any evidence that proves that it actually relied on Defendants’ misrepresentations about defendant Marquez’s ownership in SafeSec when choosing defendant SafeSec as a vendor. Plaintiff also does not provide evidence establishing that had Plaintiff known of defendant Marquez’s financial interest in defendant SafeSec, it would not have contracted with defendant SafeSec. Thus, the court finds that Plaintiff is not entitled to summary adjudication as to the sixth cause of action as to defendant Marquez or defendant SafeSec. Summary adjudication as to the sixth cause of action as to Defendants is denied.

Seventh Cause of Action

– Declaratory Relief

In its Complaint, Plaintiff seeks declaratory relief regarding LACERA and Defendants’ rights and duties with respect to another under the contracts between LACERA and defendant SafeSec. (Complaint, ¶ 83.)

Plaintiff argues that it is entitled to a declaration pursuant to Code of Civil Procedure section 1060 that the contracts between it and defendant SafeSec were void at their inception and that defendant has no rights under those contracts.

Pursuant to Government Code section 1092, “Every contract made in violation of any of the provisions of Section 1090 may be avoided at

the instance of any party except the officer interested therein. No such contract may be avoided because of the interest of an officer therein unless the contract is made in the official capacity of the officer, or by a board or body of which he or she is a member.” (Gov. Code, § 1092, subd. (a).) “A contract void under sections 1090 and 1092 and against public policy provides no ground for any equitable considerations, presumptions, or estoppels ... and court will not entertain any rights growing out of such a contract, or permit a recovery upon a quantum meruit or quantum valebat. Thus where a contract is made in violation of section 1090, the public entity involved is entitled to recover any compensation that it has paid under the contract without restoring any of the benefits it has received. This remedy of disgorgement of benefits received under a void contract is automatic.” (Klistoff v. Superior Court (2007) 157 Cal.App.4th 469, 481 [internal quotations and citations omitted].) “Section 1092 thus extends to a private party who is paid money by a public entity pursuant to a contract that is void because it violates section 1090. Such a party must disgorge those public funds.” (Ibid.)

Because summary adjudication is granted as to the first cause of action for violation of Government Code section 1090, a declaration that contracts between LACERA and defendant SafeSec are void is warranted and the court grants summary adjudication as to the seventh cause of action.